آغا خان یونیورسٹی ایگزامینیشن بورڈ

AGA KHAN UNIVERSITY EXAMINATION BOARD

Notes from E-Marking Centre on HSSC-I Principles of Economics

Annual Examinations 2025

Introduction

This document has been produced for the teachers and candidates of Higher Secondary School Certificate (HSSC) Part I Principles of Economics. It contains comments on candidates' responses to the 2025 HSSC-I Examination indicating the quality of the responses and highlighting their relative strengths and weaknesses.

E-Marking Notes

This includes overall comments on candidates' performance on every question and *some* specific examples of candidates' responses that support the mentioned comments. Please note that the descriptive comments represent an overall perception of the better and weaker responses as gathered from the e-marking session. However, the candidates' responses shared in this document represent *some* specific example(s) of the mentioned comments.

Teachers and candidates should be aware that examiners may ask questions that address the Candidate Learning Outcomes (SLOs) in a manner that requires candidates to respond by integrating knowledge, understanding and application skills they have developed during study. Candidates are advised to read and comprehend each question carefully before writing the response to fulfil the demand of the question.

Candidates need to be aware that the marks allocated to the questions are related to the answer space provided on the examination paper as a guide to the length of the required response. A longer response will not in itself lead to higher marks. Candidates need to be familiar with the command words in the SLOs which contain terms commonly used in examination questions. However, candidates should also be aware that not all questions will start with or contain one of the command words. Words such as 'how', 'why' or 'what' may also be used. It is imperative to refer to the command word guide available on AKU-EB website for understanding the expectations of the command word.

General Observations

The overall performance of candidates in principles of Economics was satisfactory, with the majority demonstrating a clear understanding of fundamental concepts and the ability to apply the principles in the context of Economics. However, a notable variation in performance was observed across the paper.

Candidates performed well in topics related to negative externalities, law of diminishing marginal utility, elasticity of supply, causes of low capital formation in Pakistan, total revenue and marginal revenue, national income, causes of deficit balance of payment of Pakistan, canons of taxation.

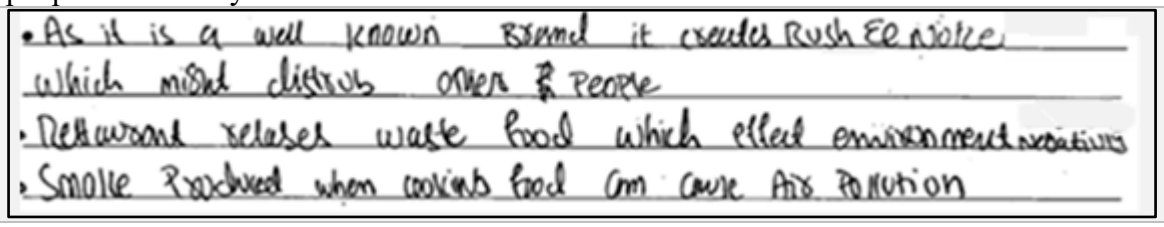
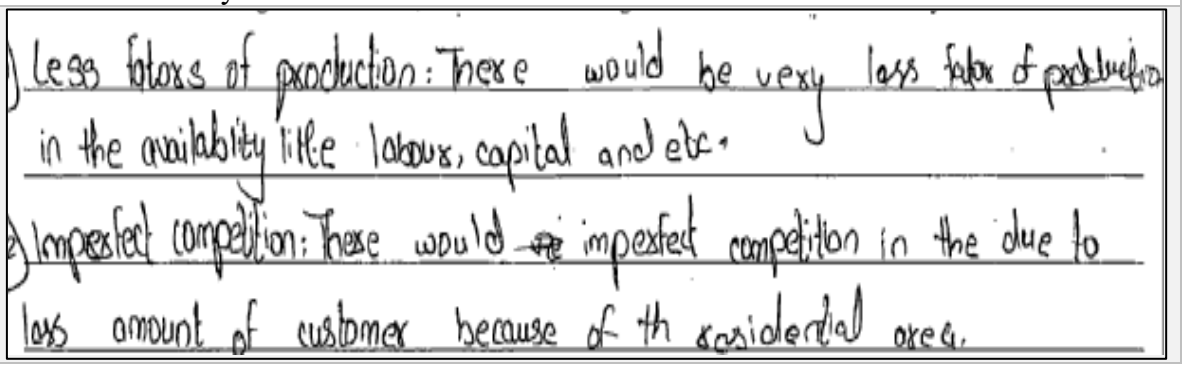
Candidates faced challenges in topics related to elasticity of demand. abnormal profit of a firm in perfect competition, price equilibrium, fiscal and monetary policy.

Focused practice and improved analytical skills in these areas are recommended for enhanced future performance.

Note: Candidates' responses shown in this report have not been corrected for grammar, spelling, format, or information.

DETAILED COMMENTS

Constructed Response Questions (CRQs)

Question No. 1	
Question Text	In a residential area, a well-known restaurant has opened its branch. The restaurant is attracting customers and adding vibrancy to the neighbourhood. With reference to the given situation, describe TWO negative externalities created by the restaurant.
SLO No.	1.4.8
SLO Text	Explain types of externalities in economics (i.e. positive and negative earning).
Max Marks	2
Cognitive Level	U
Checking Hints	Give ONE mark for each externality (TWO required)
Overall Performance	Most of the candidates secured full marks by correctly identifying two valid negative externalities. Most candidates showed a good understanding of the concept and were able to relate it to the given scenario. However, a few candidates confused direct business impacts with external effects on third parties, which affected their scores.
Description of Better Responses	*Better responses* correctly identified two distinct and relevant negative externalities. Clearly linked each externality to the restaurant's operations. Used examples such as noise pollution disturbing nearby residents, increased traffic congestion, or littering in the surrounding area. These answers demonstrated a clear understanding of unintended consequences that affect people not directly involved in the business.
Image of Better Response	
Description of Weaker Responses	*Weaker responses majorly* listed irrelevant impacts, such as high menu prices or limited seating capacity, which are not externalities. Failed to connect the identified issues with third-party effects. In some cases, the candidates only provided one correct externality or repeated similar ideas instead of giving two distinct points. These responses indicated confusion between internal business issues and external effects on the community.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

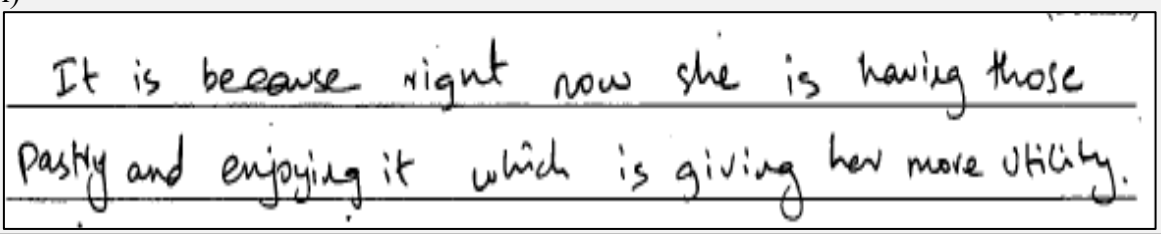
Maximising SLO Achievement	Preferred Pedagogy** Used for this SLO	Assessment Strategies

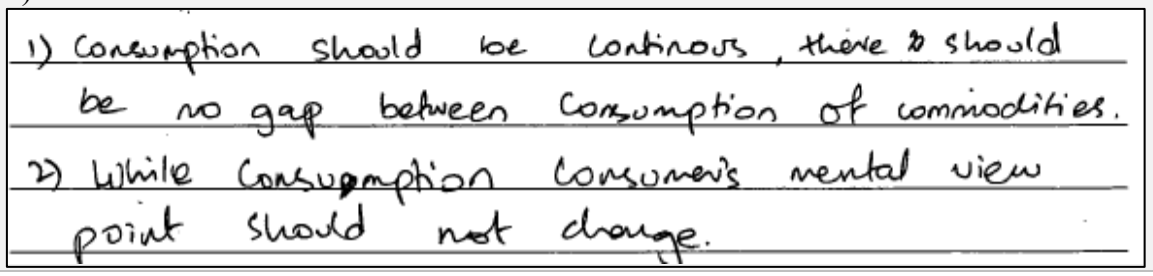
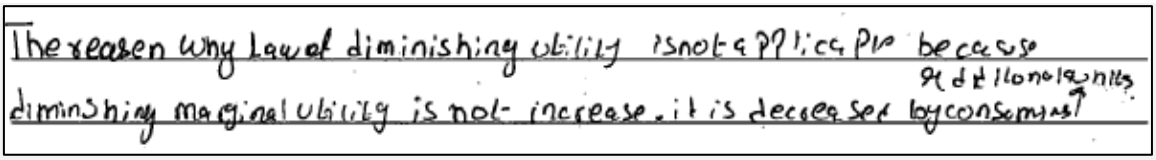
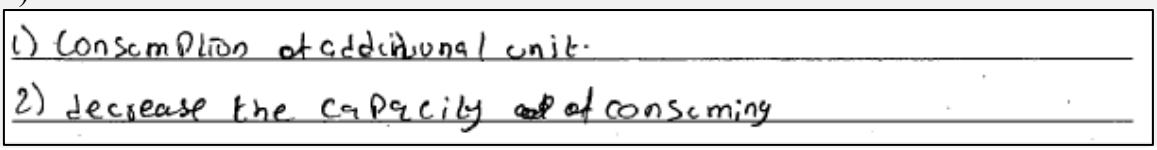
• Identify the expectation of command words (use Command Word Guide). • Teach the difference between internal impacts and externalities. • Use more examples during lessons to clarify the concept. • Encourage candidates to relate theory to real-life scenarios. • Utilise the resource guide for additional materials	• Story Board. • Cause and Effect. • Fish and Bone Diagram. • Concept Mapping. • Audio-Visual Resources. • Think, Pair and Share. • Knowledge Platform videos. • Practical Demonstration. ** For description of each Pedagogy, refer to Annexure A	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

- Use real-life examples from the local environment to make the concept relatable.
- Incorporate visual tools like flowcharts and cause-effect diagrams to reinforce understanding.

*K = Knowledge U = Understanding A = Application and other higher-order cognitive skills

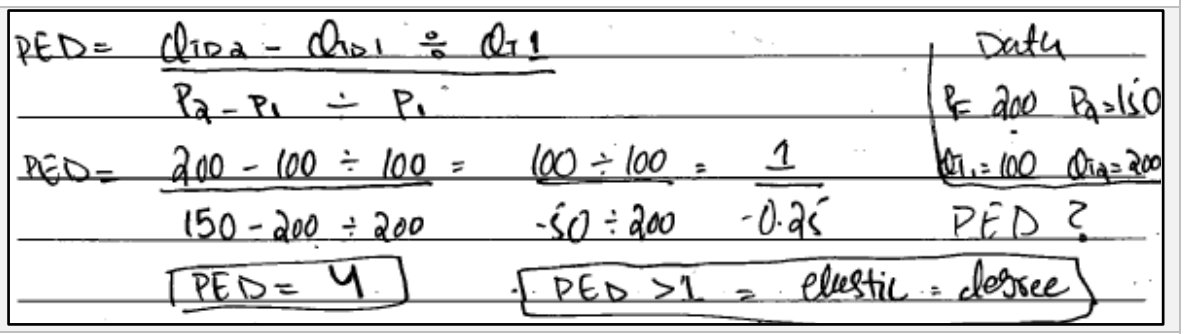
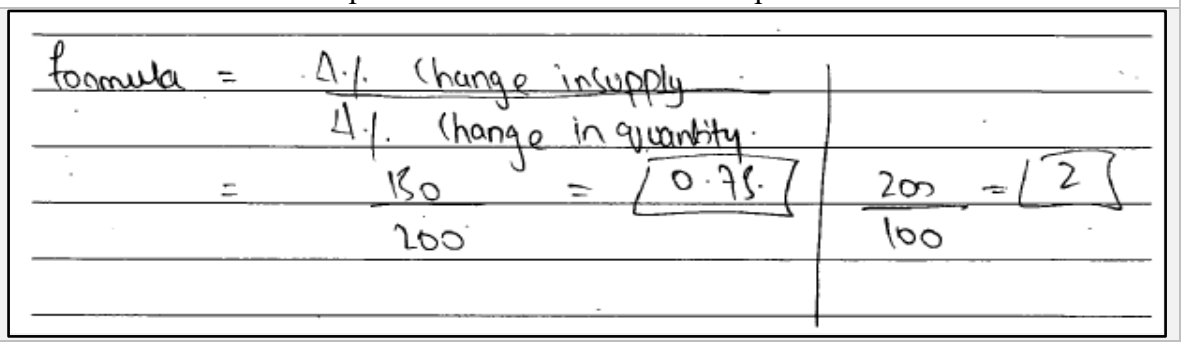
Question No. 2	
Question Text	In a cafe, Yumna orders her favourite pastry. She is continuously enjoying every bite of the pastry and orders two more pastries due to the increase in her marginal utility. i. Identify the reason why law of diminishing utility is not applicable in this given situation. ii. State any TWO assumptions of law of diminishing marginal utility.
SLO No.	2.1.7
SLO Text	Discuss limitations, assumptions and practical importance of the law of diminishing marginal utility.
Max Marks	3
Cognitive Level	U
Checking Hints	Give ONE mark for identifying the reason. Give ONE mark each for two assumptions.
Overall Performance	The overall performance in this question was below expectations. Many candidates were unable to correctly identify the main reason why the law of diminishing marginal utility did not apply in the given situation. In these some responses simply repeated parts of the question instead of giving a valid explanation. However, most candidates could recall at least one assumption of the law, though with inaccuracies. .
Description of Better Responses	*Better responses* correctly identified that the law did not apply because the pastry was a favourite item and the consumer's satisfaction was increasing rather than diminishing. In the response to state two valid assumptions from the law, such as: "The units of the commodity are identical" and "The consumption takes place continuously without a time gap." The candidates linked the explanation to the scenario, showing a good understanding of how theory applies to real-life situations.
Images of Better Responses	i) 

	ii)  1) Consumption should be continous, there should be no gap between consumption of commodities. 2) While consumption consumer's mental view point should not change.
Description of Weaker Responses	*Weaker responses* gave vague or incorrect reasons, such as "Because she liked the pastry" without linking it to the concept of marginal utility. In the part where they were asked to list the assumptions, the responses carried unrelated assumptions to the law or created assumptions from personal ideas. In some responses only one assumption was mentioned, or the candidate repeated the same assumption in different words. These responses showed a lack of conceptual clarity and limited recall of theoretical content.
Images of Weaker Responses	 The reason why Law of diminishing utility is not applicable because diminishing marginal utility is not increase. it is decreased by consuming additionalunits ii)  1) Consumption of additional unit. 2) decrease the capacity of of consuming

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes
• **Any Additional Suggestion:** • Use real-life and local examples to explain situations where the law does not apply which would include situations such as favourite or special goods, addictive goods, collections, and hobbies etc.		

Question No. 3	
Question Text	A local grocery store decides to reduce the price of apples from Rs 200 to Rs 150 per kg. As a result, the quantity demanded of apples increases from 100 kg to 200 kg per week. Compute the price elasticity of demand for apples and infer the degree of elasticity of apples.
SLO No.	3.4.5

SLO Text	Calculate price elasticity, point elasticity, arc elasticity, income elasticity, and cross price elasticity of demand with the help of schedule and graph.
Max Marks	3
Cognitive Level	A
Checking Hints	Give ONE mark for calculation. Give ONE mark for correct elasticity. Give ONE mark for identifying degree.
Overall Performance	The overall performance was below expectation. Few candidates answered in a structured way and wrote correct steps. However, many candidates missed one part usually the interpretation of the result or they used an incorrect base for percent changes and thus obtained wrong values.
Description of Better Responses	*Better responses* candidates not only showed the clear steps. But also calculated percentage of changes in elastic. They gave the correct numerical (ΔQ%÷ΔP%)/ (Δ100%÷25%) = -4.In addition, they included units and short final sentence interpreting the economic meaning, The demand for apples was elastic, meaning the fall in price led to a more than proportionate rise in quantity demanded or demand was elastic, so quantity responded strongly to the price fall.
Image of Better Response	
Description of Weaker Responses	*Weaker responses* candidate used incorrect formula or used initial values (causing wrong percent changes). Made arithmetic mistakes or omitted intermediate steps. Further, they failed to interpret the result or mislabeled the degree (e.g., called it inelastic). Few only wrote the formula or attempted the calculation but did not provide the final inference.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts)	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos	• Past paper questions • Discussion on E-Marking Notes

• Review past paper questions on the concept • Utilise the resource guide for additional materials	• Questioning Technique (Socratic approach) • Practical Demonstration	

Any Additional Suggestion:

- **Practice:** Give more practice problems with discrete changes and require candidates to show every calculation step (Δ, % change).
- **Class activities:** Class quizzes where candidates compute elasticity from small tables, and peer review each other's steps.

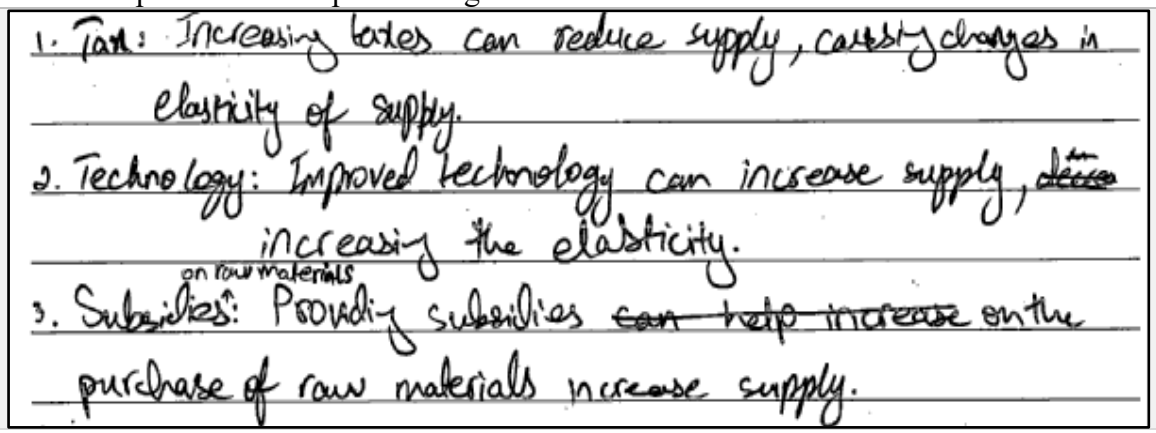
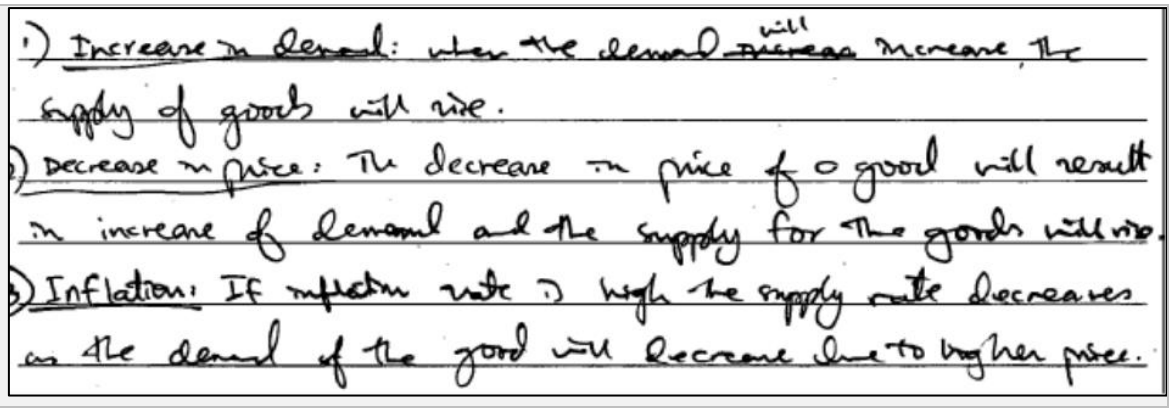
Question No. 4	
Question Text	Describe any THREE factors that influence the elasticity of supply.
SLO No.	4.5.2
SLO Text	Explain the determinants and factors affecting elasticity of supply.
Max Marks	3
Cognitive Level	U
Checking Hints	Give ONE mark for each factor (THREE required)
Overall Performance	The overall performance in this question was below the expected level. While *some* candidates managed to score full marks, more than half showed confusion between the factors that affect elasticity of supply and the determinants that cause a change in supply or a change in quantity supplied. This confusion often led to irrelevant or partially correct answers.
Description of Better Responses	In *better responses,* candidates clearly listed three valid factors influencing the elasticity of supply. Common strong points included, mentioning production period (short-run vs long-run). Referring to the nature of goods (perishable or durable). The availability of raw materials. Technological changes and government policies. These answers stayed focused on the concept of elasticity of supply and reflected an understanding of how each factor affects responsiveness to price changes.
Image of Better Response	
Description of Weaker Responses	*Weaker Responses* showed irrelevant points such as inflation, changes in demand, or government subsidies without linking them to elasticity. In many cases, candidates confused determinants of supply with factors affecting elasticity, showing gaps in conceptual clarity. *Some* answers also repeated the same factor in different words rather than providing three distinct points.

Image of Weaker Response	

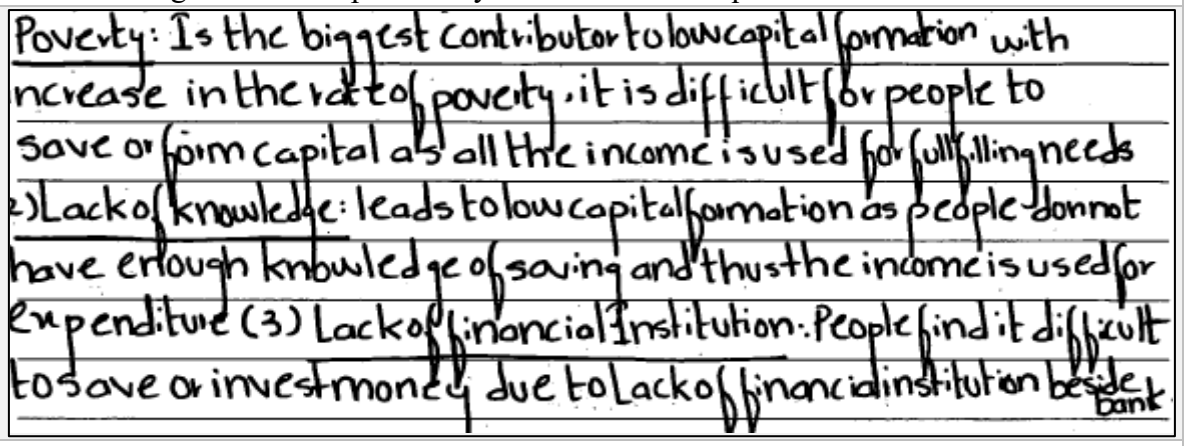
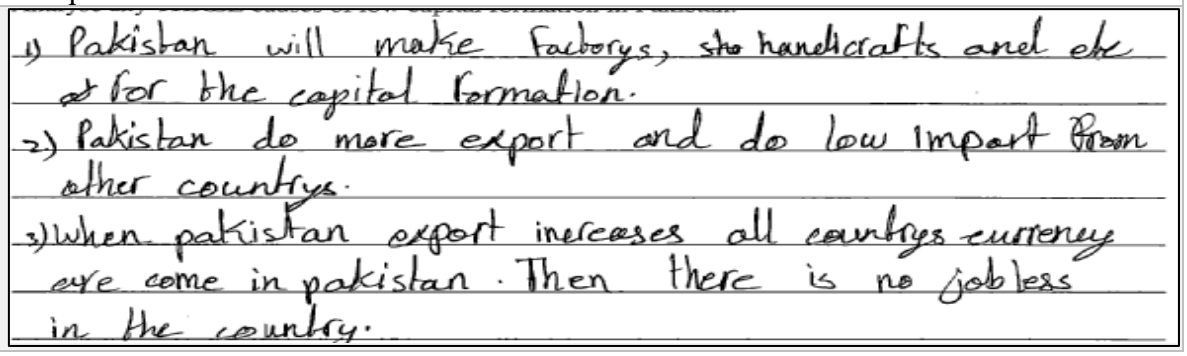
Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Pedagogy Used for that SLO	Assessment Strategies
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Any Additional Suggestion:

- Reinforce the difference between determinants of supply and factors affecting elasticity of supply through examples and comparisons.
- Use diagrams, real-life examples, and case studies to make the topic more relatable.
- Encourage peer discussions or "think–pair–share" activities so candidates can learn from each other's reasoning.

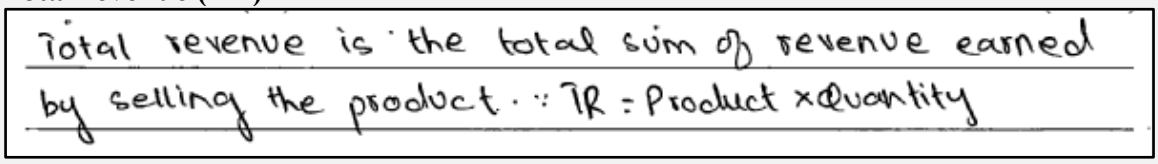
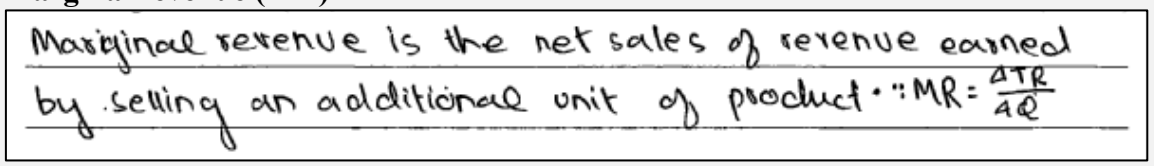
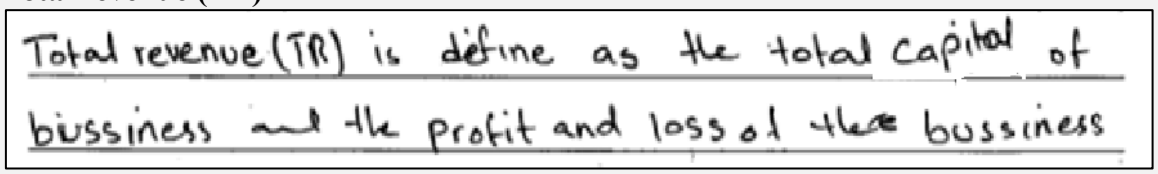
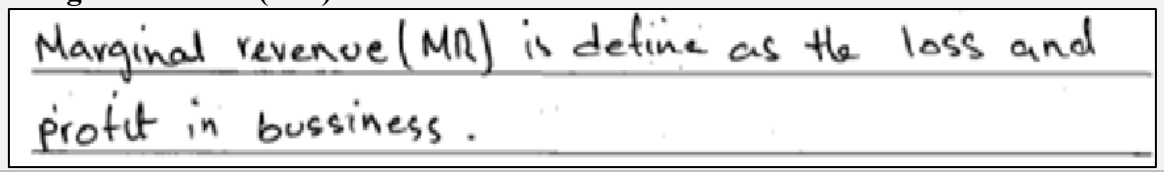
Question No. 5	
Question Text	Pakistan is considered as a developing country since its independence despite its rigorous efforts to improve capital formation in its economy. Analyse any THREE causes of low capital formation in Pakistan
SLO No.	6.2.2
SLO Text	Analyse the causes of low capital formation in developing countries.
Max Marks	3
Cognitive Level	U
Checking Hints	Give ONE mark for each cause (THREE required)
Overall Performance	The question was clear, and the candidates addressed it accurately. Few of the responses were irrelevant, with candidates discussing topics such as the balance of trade and balance of payments, which were not directly related to capital formation. This showed a lack of understanding of the specific factors affecting capital formation in Pakistan.

Description of Better Responses	*Better responses* correctly identified relevant causes of low capital formation, such as low savings rates, inadequate investment in infrastructure, limited availability of financial institutions, political instability and economic uncertainty, lack of industrialisation and technological advancement and financial awareness. These answers demonstrated a clear understanding of the concept and stayed focused on the question.
Image of Better Response	
Description of Weaker Responses	*Weaker responses* touched-base with unrelated macroeconomic topics, such as balance of trade and current account balances, without linking them to capital formation. These answers reflected confusion between general economic indicators and specific determinants of capital formation.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
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Any Additional Suggestion:

Question No. 6	
Question Text	Define the following terms. i) Total revenue (TR) ii) Marginal revenue (MR)
SLO No.	7.1.4
SLO Text	Calculate fixed cost (FC), Variable cost (VC), Total cost (TC), Average cost (AC), Average fixed Cost (AFC), Average variable cost (AVC) and Marginal cost (MC).
Max Marks	2
Cognitive Level	K
Checking Hints	Give ONE mark each for TR and MR
Overall Performance	In this question, many candidates demonstrated limited conceptual understanding of the terms Total Revenue (TR) and Marginal Revenue (MR). A significant number confused these revenue concepts with cost-based terminology such as Total Cost (TC), Average Revenue (AR), or Marginal Cost (MC). Many responses lacked precision in economic language, and definitions were often incomplete or too general to earn full marks.
Description of Better Responses	In *better responses* candidates accurately defined total revenue as the total earnings a firm receives from selling its output TR=Price (P)×Quantity (Q) and marginal revenue as marginal revenue is the additional revenue a firm earns by selling one more unit of a good or service. MR=ΔTRΔQ these responses used precise economic terminology such as "output," "unit," "sales revenue," and "price," and *some* candidates even illustrated their definitions with brief numerical examples though that was not the demand of the question. Such answers reflected a sound grasp of the relationship between price, quantity, and revenue in microeconomic analysis.
Image of Better Response	**Total revenue (TR)**  Total revenue is the total sum of revenue earned by selling the product. ∴ TR = Product × Quantity **Marginal revenue (MR)**  Marginal revenue is the net sales of revenue earned by selling an additional unit of product. ∴ MR = $\frac{\Delta TR}{\Delta Q}$
Description of Weaker Responses	In *weaker responses* candidates often confused revenue with cost-related measures, defining TR as "total cost of production" or MR as "extra cost of producing one unit." *Some* gave vague statements such as "TR is the money earned" without specifying the basis of calculation. In *some* cases, formulas were missing or incorrect, and the distinction between TR and MR was not addressed. These answers indicated inadequate familiarity with the role of revenue in a firm's financial performance and decision-making process.
Image of Weaker Response	**Total revenue (TR)**  Total revenue (TR) is define as the total capital of bussiness and the profit and loss of these bussiness **Marginal revenue (MR)**  Marginal revenue (MR) is define as the loss and profit in bussiness.

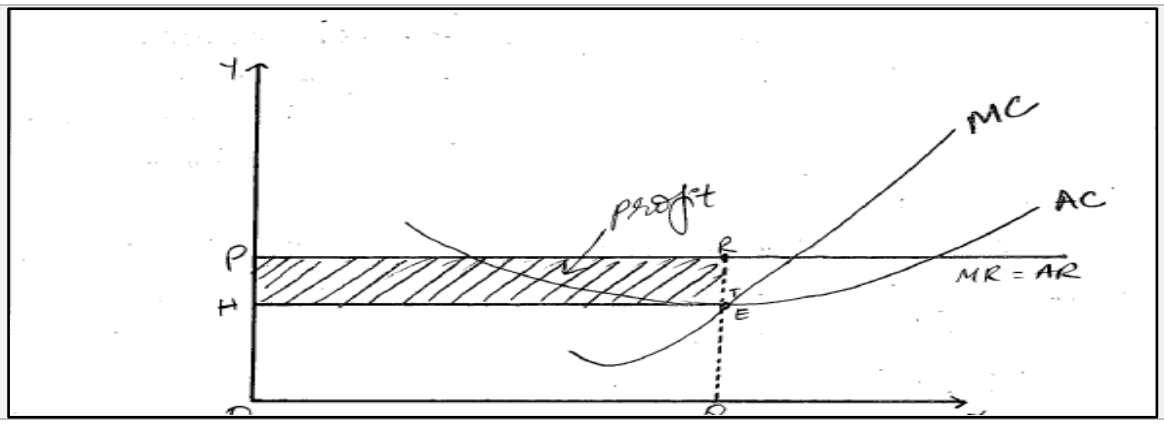
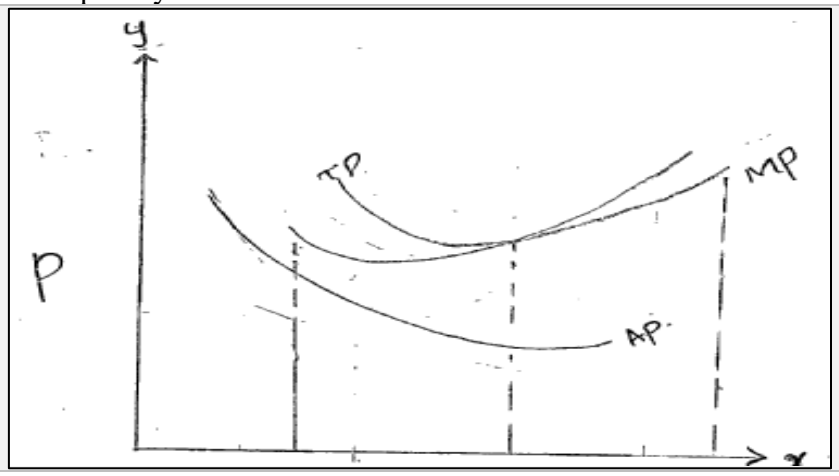
Suggestions for improvement (Highlight all that apply)

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Any Additional Suggestion:

- Encourage candidates to remember and apply the exact formulas for TR and MR, along with relevant units of measurement.

Question No. 7	
Question Text	Draw a graph depicting 'abnormal profit' of a firm in a perfect competition market in the short run.
SLO No.	8.4.1
SLO Text	Locate the short run equilibrium of a firm under following situations with the help of a graph: a.normal profit (under perfect competition and monopoly) b.abnormal profit (under perfect competition and monopoly) c.sub normal profit (loss) (under perfect competition and monopoly) d.shutdown point (under perfect competition only).
Max Marks	3
Cognitive Level	A
Checking Hints	Give ONE mark for correct labelling of MC Give ONE mark for correct labelling of AC Give ONE mark for abnormal profit point identification
Overall Performance	In this question, many candidates were unable to produce a correct and fully labelled diagram showing abnormal profit for a firm under perfect competition in the short run. Many candidates displayed limited understanding of the relationship between cost and revenue curves and how their intersections determine a firm's profit position. Errors included missing or incorrect labels, misplacement of curves, and omission of the shaded area representing abnormal profit. This suggested insufficient familiarity with the graphical representation of equilibrium analysis in perfect competition. It is strongly suggested that the students should be advised to use dark pencil or black pen to draw graphs for better clarity of image after scanning.
Description of Better Responses	*Better responses* drew a neat and accurate diagram with all necessary curves clearly labelled, including the Marginal Cost (MC) curve, Average Cost (AC) curve, and Average Revenue (AR) curve (which coincided with the Marginal Revenue (MR) curve under perfect competition). The price line was correctly drawn as a horizontal line at the market price. The point of equilibrium was correctly shown at the intersection of MC and MR, and the abnormal profit area — the rectangle between price (AR) and AC at the equilibrium output was clearly shaded. These responses reflected a solid understanding of how a firm

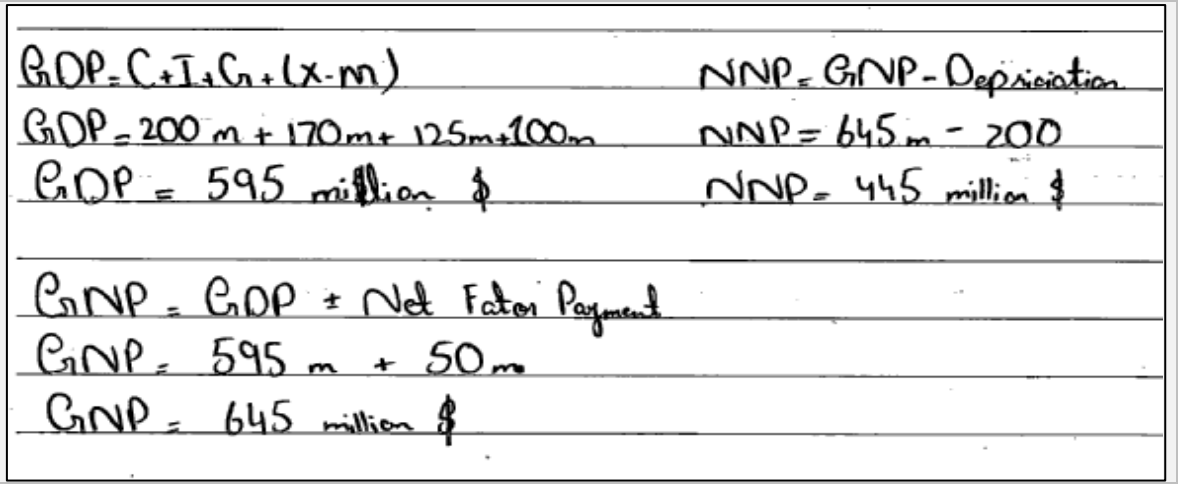
	can earn abnormal profit when the market price is above the minimum point of the AC curve.
Image of Better Response	
Description of Weaker Responses	In *weaker responses*, candidates often failed to label curves or mislabelled them (e.g., confusing MC with AC). Some drew downward-sloping demand curves instead of the perfectly elastic AR curve found in perfect competition. Others did not indicate the equilibrium point correctly or left out the shading for abnormal profit. In many cases, the diagrams lacked scale, accuracy, or logical placement of curves, which made them conceptually incorrect.
Image of Weaker Response	

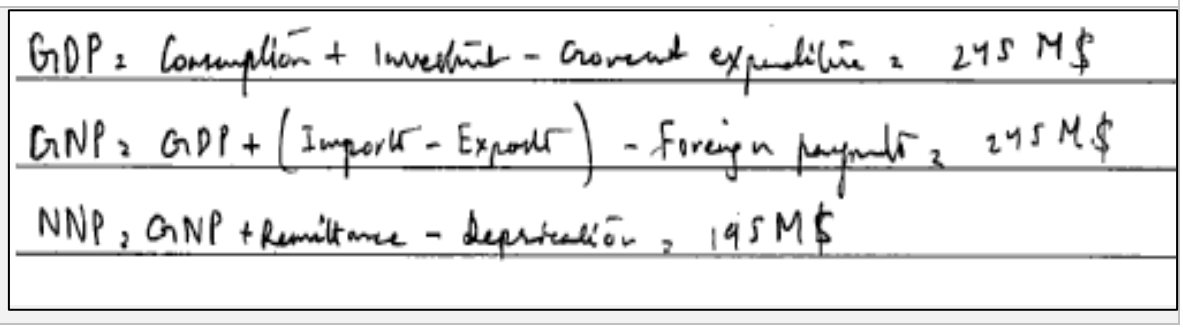
Suggestions for improvement (Highlight all that apply)

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Any Additional Suggestion:

- Conduct step-by-step graphical teaching sessions.
- Use classroom activities that involve labelling blank diagrams.

Question No. 8	
Question Text	The following figures are extracted from an economy: • Consumption 200 million $ • Investment 170 million $ • Government expenditure 125 million $ • Exports 300 million $ • Imports 200 million $ • Remittance 150 million $ • Foreign payments 100 million $ • Depreciation 200 million $ Compute the following: i. GDP ii. GNP iii. NNP
SLO No.	10.1.4
SLO Text	Calculate GDP, GNP, NNP, NI, PI, DI and per capita income (PCI).
Max Marks	3
Cognitive Level	A
Checking Hints	Give ONE mark for GDP Give ONE mark for GNP Give ONE mark for NNP
Overall Performance	In this question, candidates' performance was generally satisfactory. Many candidates successfully calculated Gross Domestic Product (GDP), Gross National Product (GNP), and Net National Product (NNP) with correct numerical answers. However, a portion of candidates used incorrect formulas, particularly when calculating GNP and NNP. Common mistakes included omitting net factor income from abroad in GNP or failing to subtract depreciation when computing NNP. These errors indicated gaps in understanding the step-by-step process for deriving different national income measures.
Description of Better Responses	In *better response* candidates applied the correct formulas systematically. In addition, the answers were well-presented, with neat calculations and correct use of given data. *Some* candidates also wrote the formulas before substituting values, (GDP = $ 595 million, GNP = $ 645 million, NNP = $ 445 million) which reflected strong procedural clarity. These responses demonstrated not only computational accuracy but also conceptual understanding of how GDP, GNP, and NNP are related.
Image of Better Response	

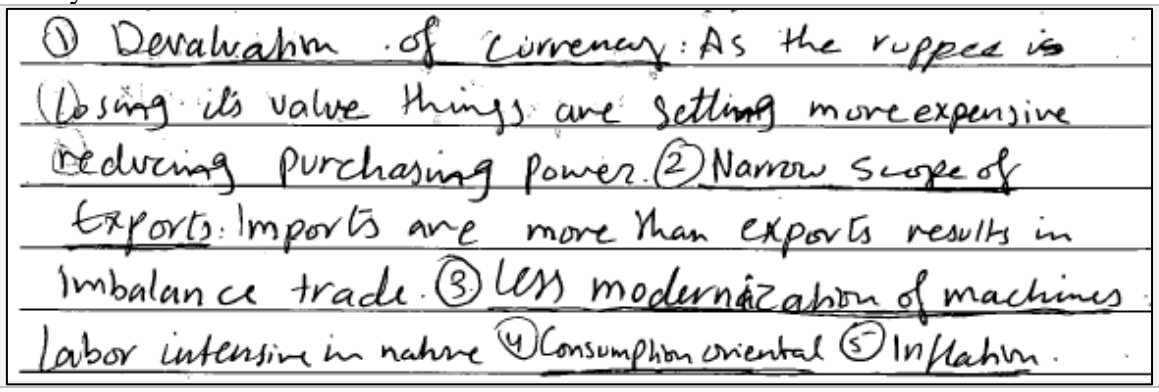
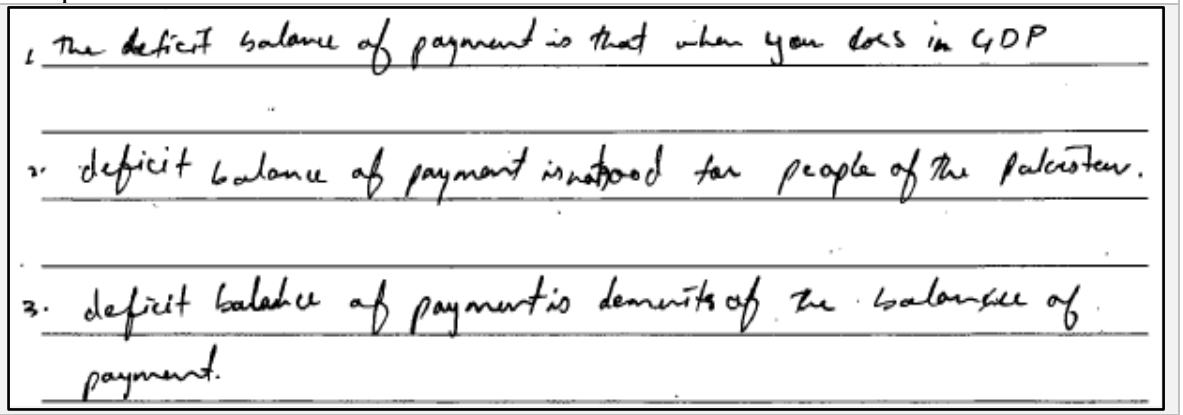
Description of Weaker Responses	In *weaker responses* candidates either used incorrect formulas or substituted wrong figures from the given data. For example, *some* added imports instead of subtracting them when calculating GDP or ignored remittances and foreign payments when computing GNP. In other cases, depreciation was mistakenly added instead of subtracted for NNP. These errors suggested a lack of familiarity with the structure of the national income accounting framework.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

- Provide formula reference charts to candidates.
- Use simplified, real-world examples to calculate economic indicators.
- Interactive calculation sessions, collaborative solving
- Timed quizzes on economic formulae
- Group-based scenario problem.

Question No. 9	
Question Text	Describe any THREE causes of continuous 'deficit balance of payment' of Pakistan.
SLO No.	13.3.4
SLO Text	Explain the different causes of deficit balance of payment.
Max Marks	3
Cognitive Level	U
Checking Hints	Give ONE mark for each correct cause (THREE required)
Overall Performance	In this question, candidates mainly struggled. Though candidates were able to list valid causes of Pakistan's continuous balance of payments (BOP) deficit. However, many responses lacked detailed description or failed to link the causes to Pakistan's current economic situation. This suggested that while candidates were familiar with the topic, they often relied on rote learning rather than demonstrating deeper understanding.
Description of Better Responses	*Better responses* clearly identified three relevant economic causes, such as persistent trade deficit due to higher imports than exports, heavy reliance on imported oil and machinery, leading to high import bills, declining export competitiveness due to low value-added production, debt servicing and capital outflows. These answers included brief but precise explanations, supported by examples related to Pakistan's economy, such as rising fuel import costs or global market competition. The linkage between each cause and its effect on Pakistan's BOP showed strong conceptual clarity.
Image of Better Response	
Description of Weaker Responses	In *weaker responses* candidates listed unrelated or vague points, such as "corruption" or "poor management," without connecting them to the BOP deficit in economic terms. *Some* repeated the same idea in different words, while others provided general statements without explanation. These responses reflected a lack of understanding of the structure and components of the BOP.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

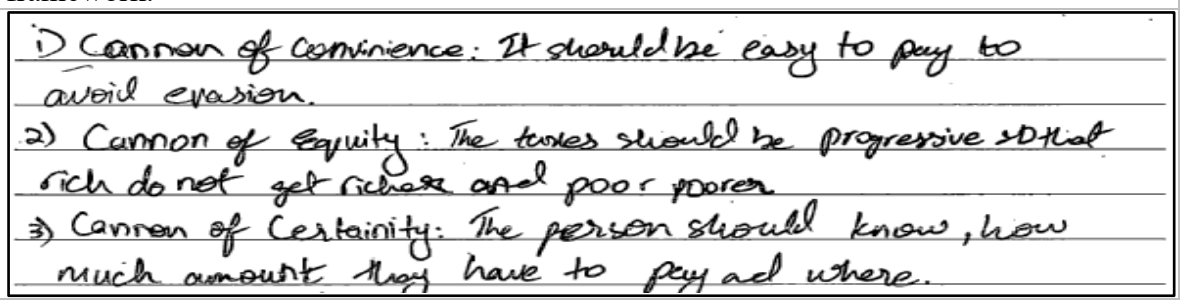
Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies

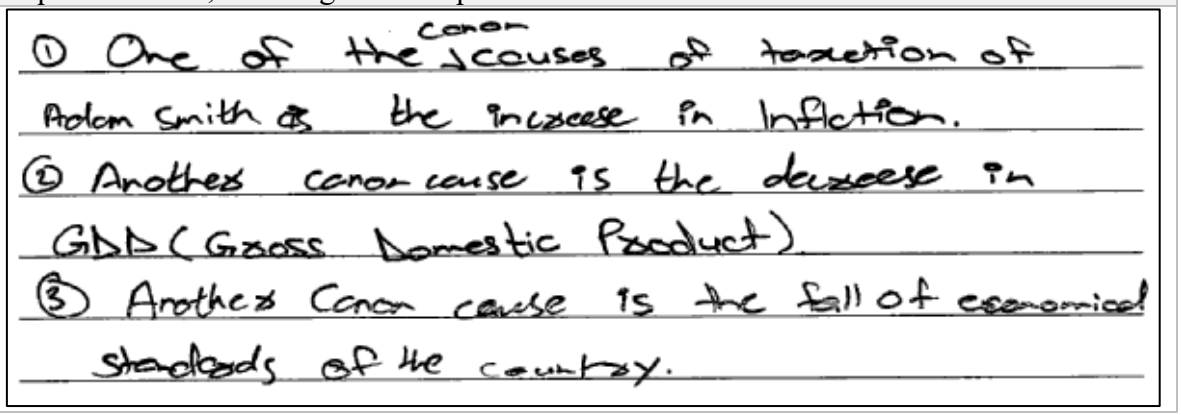
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes • Problem-based learning

Any Additional Suggestion:

- Candidates should practice linking causes directly to the economic concept of the BOP, explaining how each factor contributes to a deficit.
- More focus should be placed on distinguishing between short-term and long-term causes of BOP deficits.
- Structured answers can help candidates organise their thoughts more effectively.

Question No. 10

Question Text	Explain any THREE canons of taxation of Adam Smith.
SLO No.	14.2.5
SLO Text	Explain the canon of taxation given by Adam Smith.
Max Marks	3
Cognitive Level	U
Checking Hints	Give ONE mark for each cause (THREE required) Note: Canon of economy should be accepted.
Overall Performance	This question was generally answered with clarity, and most candidates demonstrated a reasonable understanding of Adam Smith's canons of taxation. A majority accurately identified and defined three canons, with many also explaining them briefly. Overall performance was strong, although a few candidates confused Adam Smith's canons with other general principles of public finance or provided unrelated points.
Description of Better Responses	*Better responses* correctly named three canons, such as the Canon of Equity, Canon of Certainty, Canon of Convenience, and Canon of Economy. They provided accurate definitions, for example, explaining the Canon of Equity as the principle that taxes should be proportionate to a person's ability to pay, and the Canon of Certainty as the requirement that taxpayers should know in advance how much tax they must pay and when. Canon of Convenience that the timing and method of tax collection should minimise inconvenience and hardship. *Some* candidates also gave real-life examples, such as income tax reflecting the ability-to-pay principle, which showed a deeper understanding of Adam Smith's framework.
Image of Better Response	

Description of Weaker Responses	In *weaker responses* candidates listed irrelevant principles like "progressive tax" or "fair distribution" without explicitly linking them to Adam Smith's canons. Others provided vague statements such as "tax should be fair" without proper explanation or economic context. *Some* repeated the same canon in different words or omitted one of the three required canons, resulting in incomplete answers.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
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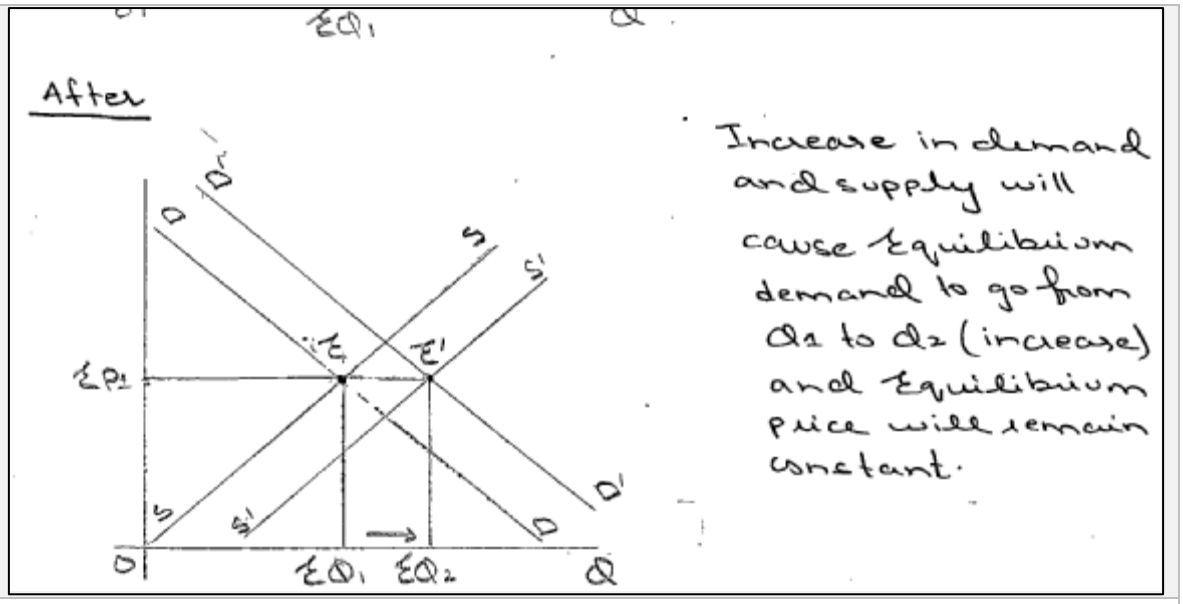
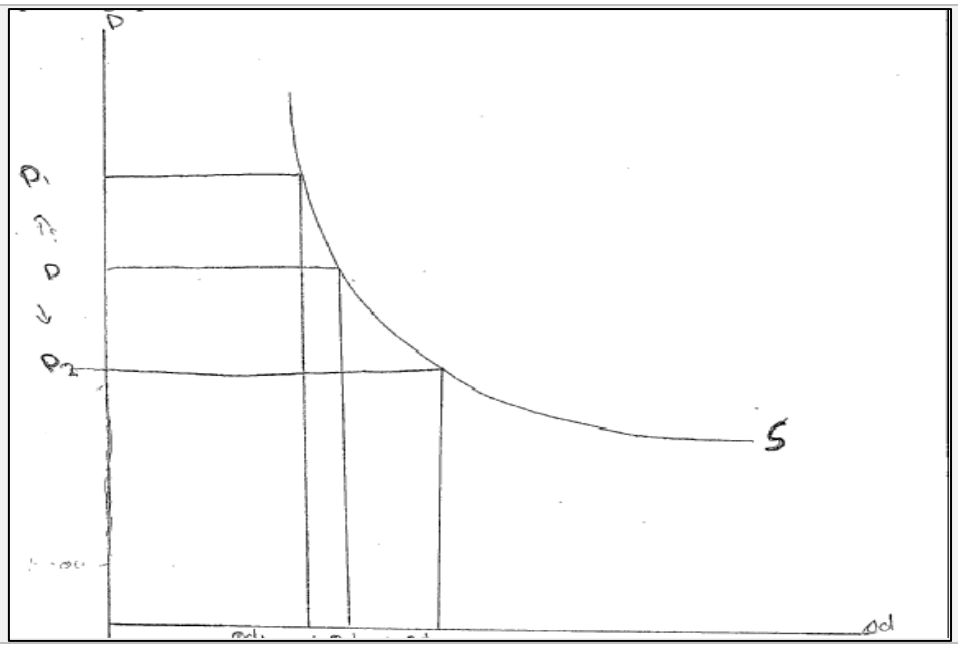
Any Additional Suggestion:

- Candidate should revise Adam Smith's original canons and remember their definitions using precise economic language.
- More practice is needed in linking theoretical principles to practical taxation systems for better application skills.
- Teachers can encourage the use of structured answers (canon name → definition → example) to ensure clarity and completeness.
- Emphasis should be placed on differentiating Adam Smith's canons from other modern taxation principles to avoid confusion.

Extended Response Questions (ERQs)

Extended response questions offered a choice between parts ‘a’ and ‘b’

Question No. 11 a.	
Question Text	In a city experiencing rising electricity costs and growing environmental awareness, there is an increase in the demand for solar panels as residents seek alternative energy solutions to reduce their expenses and carbon footprint. Additionally, import of solar panels has increased due to internationally decrease in the price of panels leading to an increase in their supply in the market. With the help of graph, show the equilibrium price and equilibrium quantity before and after increase on the demand and supply of solar panel.
SLO No.	5.1.2
SLO Text	Determine the equilibrium price and quantity through demand and supply with the help of a graph and schedule.
Max Marks	7
Cognitive Level	A
Checking Hints	Give ONE mark for D Give ONE mark for D1 Give ONE mark for S Give ONE mark for S1 Give ONE mark for old equilibrium Give ONE mark for new equilibrium Give ONE mark for new price
Overall Performance	This question was mostly attempted by candidates rather than part ‘b’. Most candidates correctly illustrated the initial demand (D) and supply (S) curves and marked the original equilibrium point. However, a considerable number struggled to shift the curves appropriately according to the given scenario — an increase in demand due to rising electricity costs and environmental awareness, and an increase in supply due to falling international prices of solar panels. In *some* cases, the direction of shifts was reversed, or the new equilibrium point was not accurately shown. This reflected gaps in understanding the combined effect of simultaneous demand and supply changes on market equilibrium.
Description of Better Responses	*Better responses* drew a neat and accurate diagram with the original demand curve (D) and supply curve (S) clearly labelled, along with their shifts to the right as D1 and S1. The old equilibrium (E) was correctly shown at the intersection of D and S, while the new equilibrium (E1) was marked at the intersection of D1 and S1. The new equilibrium price (P1) and quantity (Q1) were identified correctly, showing a strong grasp of how both curves shifting outward affects the market. These responses demonstrated a clear understanding of the market mechanism and the visual representation of equilibrium changes.

Image of Better Response	
Description of Weaker Responses	In *weaker responses* candidates either failed to label the curves correctly or did not shift both curves as required. *Some* drew only one shift (either demand or supply) despite the question specifying changes in both. Others misplaced the new equilibrium or showed incorrect movement in price and quantity. A few diagrams were unclear or incomplete, making it difficult to interpret the Candidate's understanding of the concept.
Image of Weaker Response	

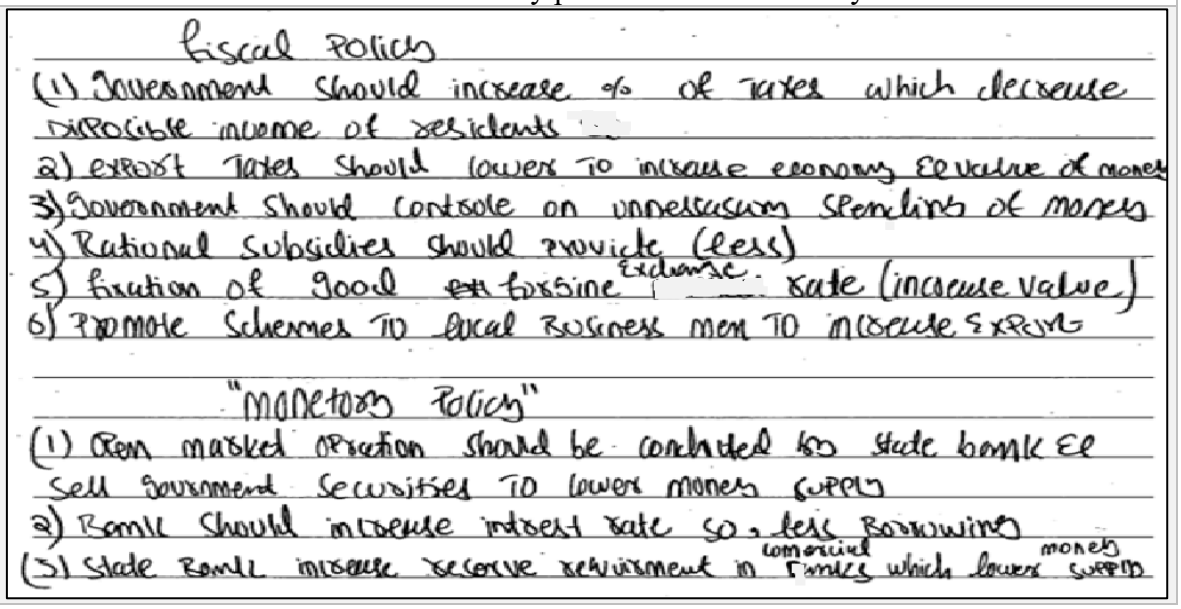
Suggestions for improvement (Highlight all that apply)

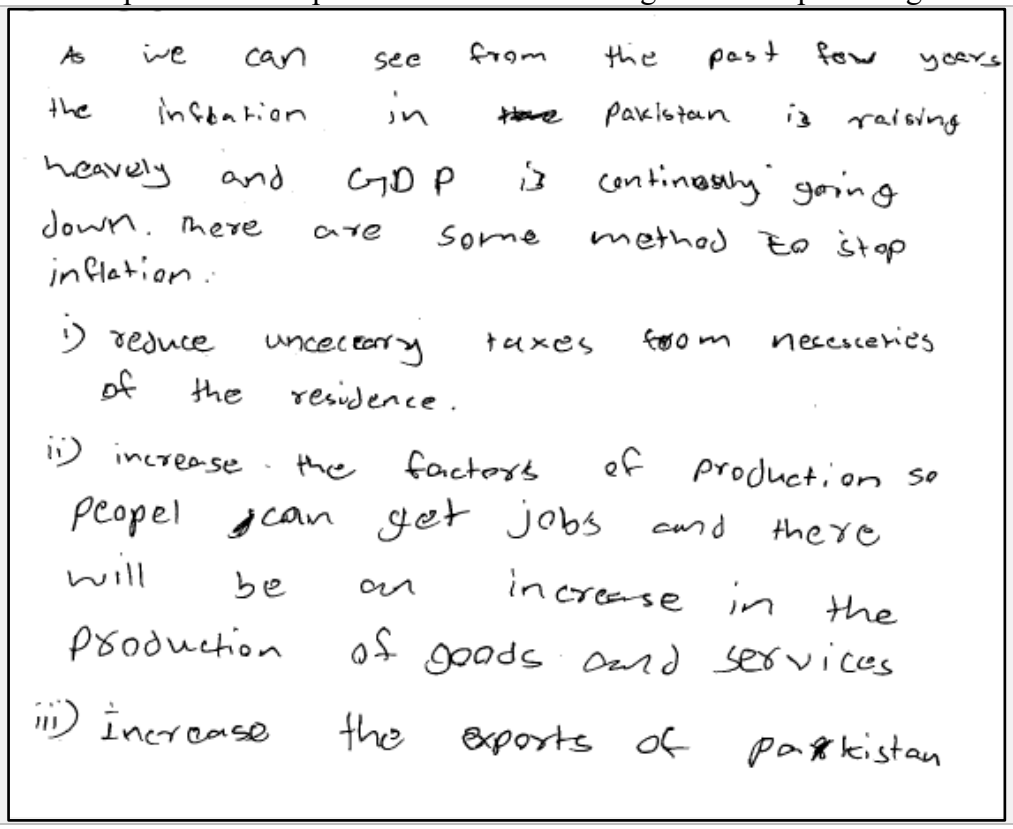
Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

• Utilise the resource guide for additional materials		

Any Additional Suggestion:

- Candidates should practice drawing diagrams step-by-step, ensuring proper labeling of all curves and equilibrium points.
- Emphasis should be placed on understanding the effect of simultaneous demand and supply changes on price and quantity.
- Teachers can reinforce learning by using real-world examples and interactive graph plotting to make curve shifts easier to visualise.
- Candidates should remember to highlight both the old and new equilibrium clearly in the diagram, along with the corresponding price and quantity changes.

Question No. 11 b.	
Question Text	Suggest any FOUR fiscal and THREE monetary methods to control inflation in Pakistan.
SLO No.	11.2.8
SLO Text	Suggest different methods to control inflation in Pakistan (by using fiscal and monetary policy).
Max Marks	7
Cognitive Level	A
Checking Hints	Give ONE mark for each fiscal tool (FOUR required) Give ONE mark for each monetary tool (THREE required)
Overall Performance	In this question, most candidates demonstrated an understanding of methods to control inflation in Pakistan using both fiscal policy and monetary policy. Many were able to list appropriate tools for each policy type, meeting the requirement of four fiscal and three monetary methods. However, a small number of candidates confused the two policy types or provided vague and general statements without naming specific measures.
Description of Better Responses	*Better responses* clearly separated the fiscal and monetary methods, often using headings for clarity. For fiscal policy, they correctly listed tools such as reducing government expenditure, increasing direct taxes, cutting subsidies, and improving tax collection. For monetary policy, they accurately named measures like increasing the discount rate, raising the cash reserve ratio, and reducing credit availability and Open Market Operations (OMOs). These responses showed strong conceptual clarity, and an understanding of how each measure works to reduce inflationary pressure in the economy.
Image of Better Response	

Description of Weaker Responses	In *weaker responses* candidates mixed fiscal and monetary measures without proper distinction or mentioned irrelevant points such as "increasing exports" or "reducing corruption," which do not directly qualify as inflation control tools under these policies. *Some* listed fewer than the required number of measures, resulting in incomplete answers. Others repeated similar points in different wording instead of providing distinct tools.
Image of Weaker Response	

As we can see from the past few years the inflation in ~~there~~ Pakistan is raising heavely and GDP is continously going down. here are some method to stop inflation.

i) reduce unnecessary taxes from necessieries of the residence.

ii) increase the factors of production so peopel can get jobs and there will be an increase in the production of goods and services

iii) increase the exports of pakistan

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review of past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

- Candidates should practice clearly distinguishing between fiscal policy (government spending and taxation) and monetary policy (central bank control of money supply and interest rates).
- Encouraging the use of relevant examples from Pakistan's recent economic context can make answers more applied and stronger.

Annexure A: Pedagogies Used for Teaching the SLOs

Pedagogy: Storyboard
Description: A visual pedagogy that uses a series of illustrated panels to present a narrative, encouraging creativity and critical thinking. It helps learners organise ideas, sequence events, and comprehend complex concepts through storytelling.
Example: In a Literature class, candidates are tasked with creating storyboards to visually retell a novel. They draw key scenes, write captions, and present their stories to the class, enhancing their reading comprehension and fostering their imagination.

Pedagogy: Cause and Effect
Description: This pedagogy explores the relationships between actions and consequences. By analysing cause-and-effect relationships, learners develop a deeper understanding of how events are interconnected and how one action can lead to various outcomes.
Example: In a History class, candidates study the causes and effects of the Industrial Revolution. They research and discuss how technological advancements in manufacturing led to significant societal changes, such as urbanisation and labour reform movements.

Pedagogy: Fish and Bone
Description: A method that breaks down complex topics into main ideas (the fish) and supporting details (the bones). This visual approach enhances comprehension by highlighting essential concepts and their relevant explanations.
Example: During a Biology class on human anatomy, the teacher uses the fish and bone techniques to teach about the human skeletal system. Teacher presents the main components of the human skeleton (fish) and elaborates on each bone's structure and function (bones).

Pedagogy: Concept Mapping
Description: An effective way to visually represent relationships between ideas. Learners create diagrams connecting key concepts, aiding in understanding the overall structure of a subject and fostering retention.
Example: In a Psychology assignment, candidates use concept mapping to explore the various theories of personality. They interlink different theories, such as Freud's psychoanalysis, Jung's analytical psychology, and Bandura's social-cognitive theory, to see how they relate to each other.

Pedagogy: Audio Visual Resources
Description: Incorporating multimedia elements like videos, images, and audio into lessons. This approach caters to different learning styles, making educational content more engaging and memorable.
Example: In a General Science class, the teacher uses a documentary-style video to teach about the solar system. The video includes stunning visual animations of the planets, interviews with astronomers, and background music, enhancing candidates' interest and understanding of space.

Pedagogy: Think, Pair, and Share
Description: A collaborative learning technique where candidates ponder a question or problem individually, then discuss their thoughts in pairs or small groups before sharing with the entire class. It fosters active participation, communication skills, and diverse perspectives.
Example: In a Literature in English class, the teacher poses a thought-provoking question about a novel's moral dilemma. Candidates first reflect individually, then pair up to exchange their opinions, and finally participate in a lively class discussion to explore different viewpoints.

Pedagogy: Questioning Technique (Socratic Approach)
Description: Based on Socratic dialogue, this method stimulates critical thinking by posing thought-provoking questions. It encourages learners to explore ideas, justify their reasoning, and discover knowledge through a process of inquiry.
Example: In an Ethics class, the instructor uses the Socratic approach to lead a discussion on the meaning of justice. By asking a series of probing questions, the candidates engage in a deeper exploration of ethical principles and societal values.

Pedagogy: Practical Demonstration
Description: A hands-on approach where learners observe real-life applications of theories or skills. Practical demonstrations enhance comprehension, skill acquisition, and problem-solving abilities by bridging theoretical concepts with real-world scenarios.
Example: In a Food and Nutrition class, the instructor demonstrates the proper technique for filleting a fish. Candidates observe and then practise the skill themselves, learning the practical application of knife skills and culinary precision.

(**Note:** The examples provided in this annexure serve as illustrations of various pedagogies. It is important to understand that these pedagogies are versatile and can be applied across subjects in numerous ways. Feel free to adapt and explore these techniques creatively to enhance learning outcomes in your specific context.)

Acknowledgments

The Aga Khan University Examination Board (AKU-EB) acknowledges with gratitude the invaluable contributions of all the dedicated individuals who have played a pivotal role in the development of the Principles of Economics E-Marking Notes.

We extend our sincere appreciation to Muhammad Qasim Sharif and. Umair Zafar, Specialist in Commerce at AKU-EB, for taking the subject lead during the entire process of e-marking.

Additionally, we express our gratitude to the esteemed team of reviewers for their constructive feedback on overall performance, better and weaker responses, and validating teaching pedagogies along with suggestions for improvement.

These contributors include:

• Munira Muhammad, Manager, Assessment, AKU-EB

• Zain Muluk, Manager, Examination Development, AKU-EB

• Dr Naveed Yousuf, CEO, AKU-EB